Macro Lens Research

Growth Strong, Jobs Soft: Late-Cycle Divergence in the U.S. Economy

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Executive Summary

Growth Strong, Jobs Soft

The U.S. economy continues to send conflicting signals. Output remains resilient, with GDP growth holding at **3.8%**, supported by firm consumer activity and stabilizing trade conditions. Yet, the labor market shows early signs of fatigue as unemployment has risen to **4.3%**, and non-farm payrolls have slowed sharply to just **22,000**, the weakest pace in over a year. This divergence between output and employment suggests that productivity gains and inventory rebuilding may be masking underlying softness in demand.

Inflation Reawakens

While growth remains firm, inflationary pressures are re-emerging. Headline CPI has risen to **3% YoY**, trending upward despite a 4.25% policy rate with **more cuts** expected. The market is interpreting this as a signal that the Federal Reserve could pivot sooner rather than later, lifting risk appetite even as real inflation risk remains unresolved.

Commodity Split: Gold Up, Oil Down

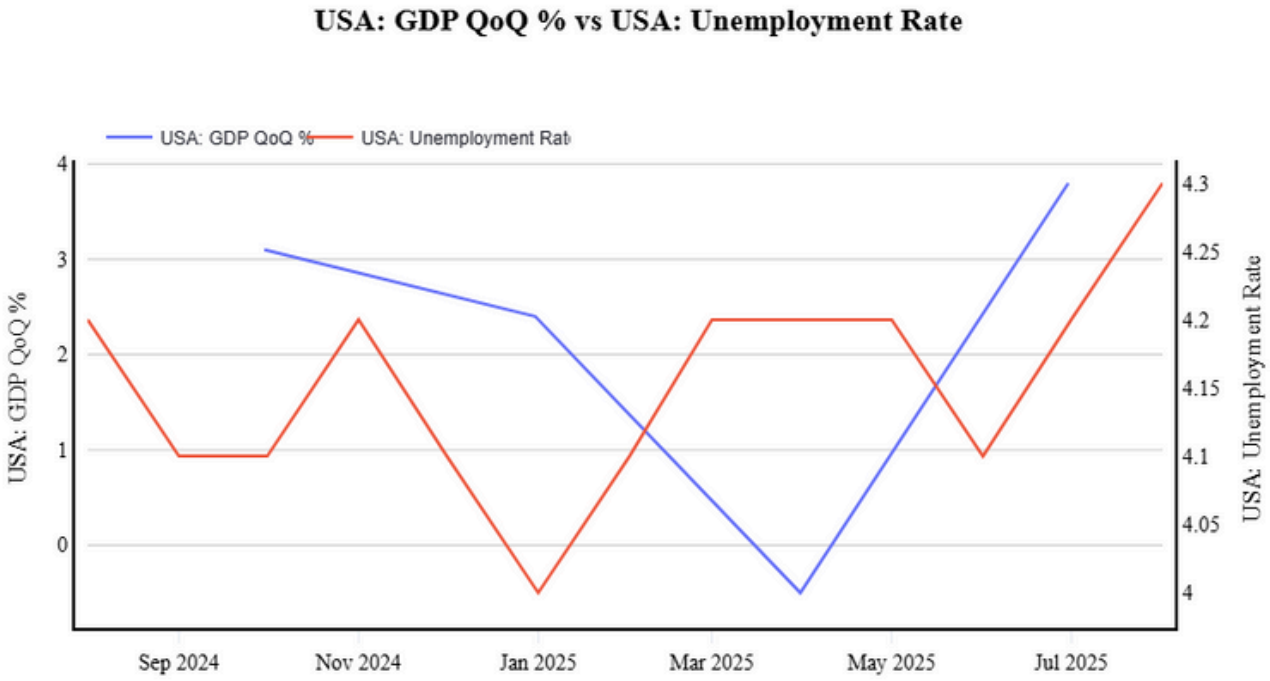
Cross-asset performance is echoing the macro split. Gold has surged to **record highs**, reflecting hedging demand amid policy uncertainty and real-yield compression. In contrast, crude oil prices have **declined sharply**, pointing to slowing global demand and improved supply conditions. This commodity divergence reflects investors pricing in **disinflation**, not deflation—an important nuance for positioning.

Equities Defy the Macro Mix

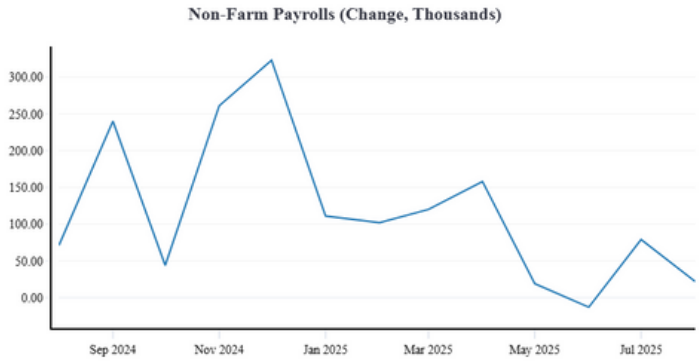
Despite mixed fundamentals, equities remain euphoric. The S&P 500 trades at **all-time highs**, the VIX has fallen to 17.9, and major tech names continue to dominate. Markets are effectively betting that policy easing will offset **slowing growth** — a dynamic that may sustain risk assets in the short term but leaves them vulnerable to any negative data surprises.

Growth vs Labor Divergence

- GDP holds firm at 3.8%, signaling **steady output** momentum.
- Unemployment rises to 4.3%, while NFP growth slows to just 22,000, the **weakest** since mid-2024.
- Productivity gains and inventory rebuilding are sustaining output despite softer demand.
- The divergence implies growth quality is **deteriorating,** not strengthening.



Despite solid top line growth, **labor market** momentum has clearly rolled over. Businesses appear to be sustaining output through higher productivity and leaner staffing, **not new hiring.** This often precedes an inflection in corporate margins and signals that headline GDP may overstate underlying strength.

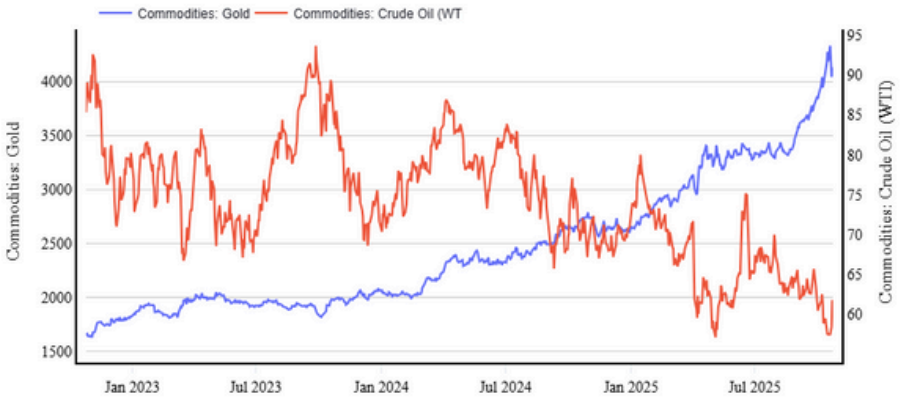


- Job growth has slowed sharply, with the latest reading at **22K**, well below the 12-month average of 118K.
- The trend is clearly downward, with the current level near the **bottom 10%** of its 3-year range.
- Takeaway: While GDP remains solid, the weak payrolls underscore a **growing divergence** between output and employment, suggesting the expansion is increasingly driven by productivity rather than new hiring.

Commodity Contradictions

Despite mixed signals across global markets, commodities are **showing a clear split** between inflation sensitive metals and energy/agriculture.

Commodities: Gold vs Commodities: Crude Oil (WTI)



Gold

- Price = 4126.90.
- Trending = upward.
- 3 year range = 92%.
- Strong safe haven demand.

Crude Oil

- Price = 61.44.
- Trending = downward.
- 3 year range = 12%.
- Weak global demand.

Gold has **surged** to near-record highs, reflecting investor demand for a safe haven amid policy uncertainty and low real yields. In contrast, crude oil has **declined** sharply, signaling weaker global demand and ample supply. This divergence highlights a **late cycle** dynamic where gold is driven by hedging and real yield compression, while oil remains sensitive to slowing economic activity. For investors, it underscores the divergence between assets priced for **policy risk** versus those priced for **growth** momentum.

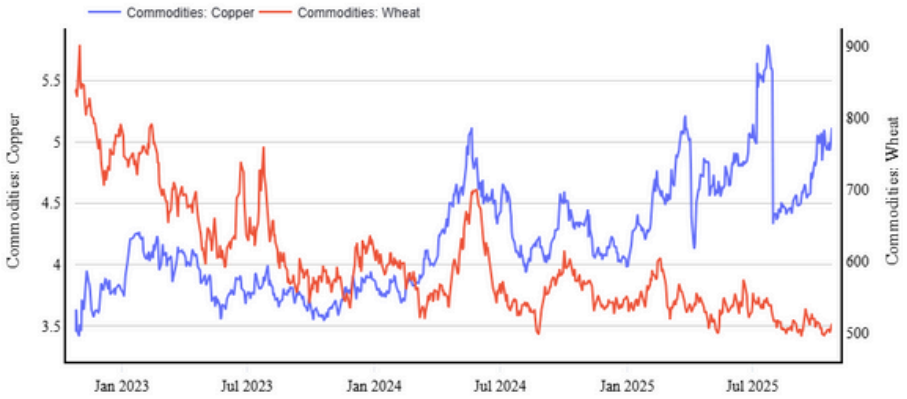
Commodities: Copper vs Commodities: Wheat

Copper

- Price = 5.12.
- Trending = upward.
- 3 year range = 72%.
- Robust industrial demand.

Wheat

- Price = 513.00.
- Trending = downward.
- 3 year range = 4%.
- Ample global supply/weak demand.



Copper is holding steady and showing **strength**, supported by ongoing industrial demand, while wheat has fallen sharply, reflecting abundant supply and **weaker** global consumption. The divergence points to a split between growth-sensitive industrial metals and softening agricultural markets. Investors are likely focusing on copper as a signal of ongoing economic activity, while wheat and other crops highlight slowing demand and potential **disinflationary** pressures.

Market Behavior

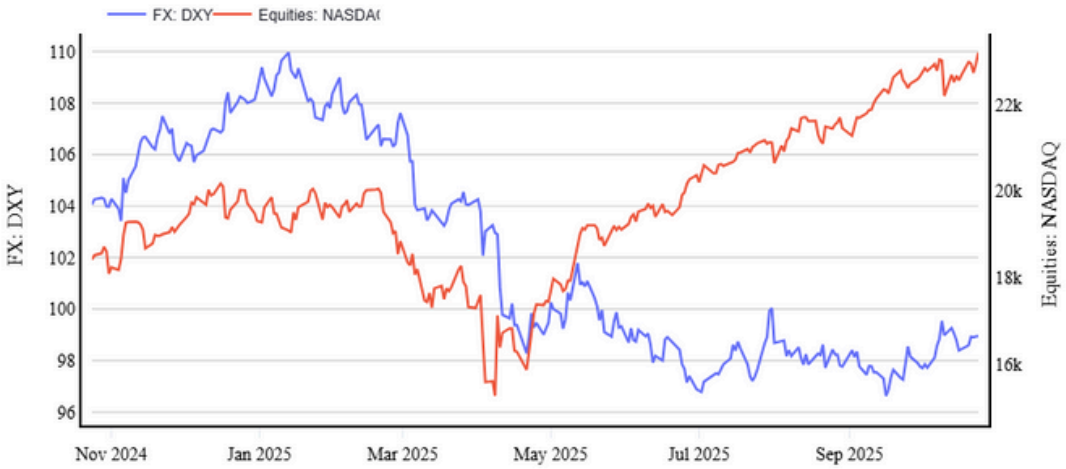
- Equities continue to **climb** despite the weakening macro backdrop.
- The S&P 500 and NASDAQ are both at record highs (**100%** of their 3-year range), while the VIX has fallen to **11%** of its 3-year range at 16.37.
- Investors appear to be positioning for monetary **easing**, choosing to focus on liquidity expectations rather than slowing fundamentals.

Equities: S&P 500 vs Equities: VIX



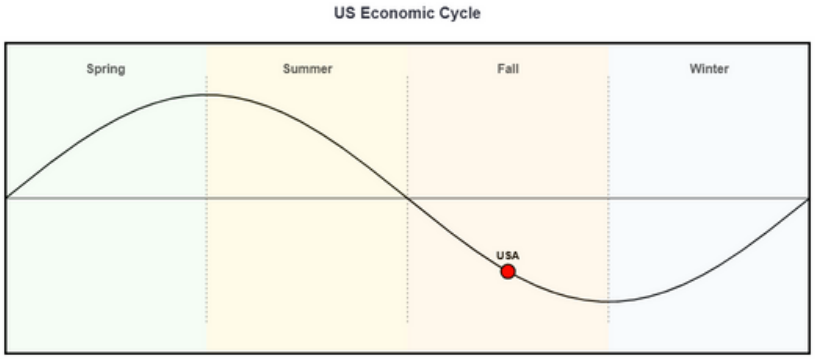
The persistence of equity strength alongside a falling dollar and declining volatility paints a **liquidity-driven** rally. Policy expectations, not earnings, are sustaining valuations. With inflation trending modestly higher and growth softening, this optimism could prove **fragile** if labor or inflation data turn sharply worse.

FX: DXY vs Equities: NASDAQ



Macro Implications

While GDP momentum remains firm, the deterioration in labor conditions and weakening manufacturing indicators signal a transition toward **slower** activity. Inflation's upward drift at 2.9% complicates the policy picture, leaving the Federal Reserve caught between soft growth and still-sticky prices.



In the Fall phase, growth momentum begins to **fade**, hiring softens, and inflation remains persistent. This usually signals a gradual shift toward **easier** policy conditions.

- The growth-labor divergence and commodity bifurcation both align with a **slowdown** phase: output remains resilient while employment and real demand soften. Inflation is proving sticky, keeping nominal growth stable but **pressuring** margins and real income.
- In this phase, policy tends to shift from restraint to accommodation, often fueling **short-term** risk rallies before earnings and demand fully adjust. This dynamic helps explain why equities and gold are **rising** even as leading indicators weaken.

Indicator	Value	Score
GDP Trend	Improving	+1.00
CPI Level	2.9%	+0.00
CPI Trend	Rising	+1.00
Unemployment	4.3% (Rising)	-1.00
NFP Avg	27k (Weak)	-1.00
PMI	49.1 (Weak)	-1.00
PMI Trend	Improving	+0.50
Yield Curve	0.53	+0.00
TOTAL		-1.00

Macro Implications

- **Equities:** Momentum remains strong, but late-cycle risks are rising — focus on quality and defensive stocks.
- **Bonds:** Longer-term bonds look more appealing as growth slows, though sticky inflation limits big gains.
- **Commodities:** Favor gold over oil, and keep exposure to metals supported by steady industrial demand.
- **FX:** A softer U.S. dollar supports risk assets, but markets stay sensitive to policy changes.

Outlook / Positioning View

Final Takeaways

The macro environment remains complex because growth resilience is clashing with weakening labor data and uneven commodity signals. Markets are pricing in a soft landing, but the path forward hinges on how quickly inflation cools and policy adapts.

The late-cycle pattern is clear:

- Growth is slowing, not collapsing.
- Inflation remains sticky, keeping policy cautious.
- Markets are balancing optimism with fatigue.

For now, the U.S. economy stays in the “Fall” phase, cooling but not yet contracting. This period often favors selectivity, patience, and flexibility across asset classes.
Positioning for resilience, rather than chasing momentum, is likely to define performance into year-end.

Macro Lens Research

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